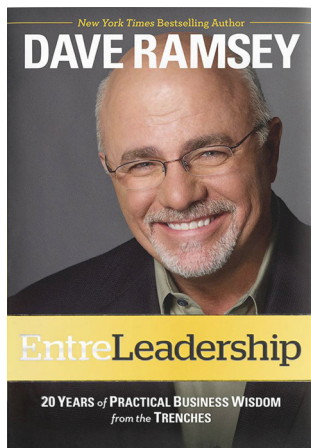




ENTRELEADERSHIP

20 Years Of Practical Business Wisdom
From The Trenches

Dave Ramsey



The Big “So What”

Mistakes are inevitable in business, but you can shorten your learning curve by studying the successes and failures of others before you. This playbook presents philosophies/methods to help you understand business fundamentals and avoid common pitfalls in starting and growing a business.



Introduction

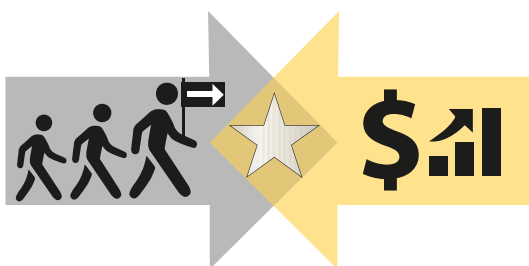


After 20 years in business, Ramsey has experienced what it's like to hit rock bottom, and also what it takes to grow a business from scratch to achieve massive financial success and fulfillment. Fundamentally, your company's performance doesn't depend on the economy, industry or even its people; it all boils down to 1 thing—you as the leader. As you grow and improve yourself, the effects will be felt throughout the organization.



Specifically, a successful business is built on EntreLeadership, i.e. a blend of great leadership and entrepreneurship.

- A leader guides and inspires others while an entrepreneur takes on and manages the risks for a venture. In short, an EntreLeader leads people in a way that brings growth and prosperity to an enterprise.
- As a boss, you have the positional power to sign a check, hire and fire people etc. However, that doesn't make you a leader. To grow a strong team, you need “persuasive leadership” to get people to embrace why you do what you do.



KEY QUOTES

“The point is, you can win in business and have a blast doing it.”

“Most of us can list what we want our leaders to look like, but we don't apply it to ourselves.”

“If you want employees, then boss them around; if you want team members, explain why you do what you do...don't lead with threats and fear.”

- Great leaders are often servant leaders—they see leadership roles not as an entitlement but a form of service. They take charge, lead from strength, and send clear signals that everyone is in it together.
- Passion is an essential ingredient for success in any organization. When you and your team truly care about what you're doing, it drives action, results, service, and even forgiveness.



Cultivate these vital components in yourself and your team.

*Develop your Dream → Vision →
Mission Statement → Goals*



 Without dreams, nothing new or exciting would ever be created. Yet, dreams tend to be vague and only start to take shape when you flesh them out with concrete action.

 You can create something only if you can see it in your mind. Crystallize your vision and share it with your team regularly, so you're all working toward the same vision.

 Your mission statement captures your dream and vision to guide your goals. According to Dan Miller, a good statement should cover your (i) calling, (ii) skills and abilities, (iii) personality, and (iv) values, dreams and passions. These jointly tell you *who* you are (and aren't), *what* you do (including what you can/want to do), *how* you'll do it and *why*. It'll take time and numerous redrafts to craft a good mission statement.

 Goals translate your dream and vision into an actionable form. Develop goals in all key areas of your life including career, finance, spiritual, physical, intellectual, family, and social.

- Effective goals should (i) be specific and measurable, (ii) have a timeframe, (iii) be *your* objectives (not someone else's), and (iv) be put in writing.
- Shared goals facilitate communication and help people to focus on a wider objective beyond their personal interests.

KEY QUOTES

"You cannot lead without passion. Passion causes things to move, and passion creates a force multiplier."

"Visions are dreams with more clarity. Dreams become reality only when you pull them gently from the clouds and convert them to visions."

"Developing your mission statement forces you to decide in advance what you are and then by definition what you aren't."

"Goals force practical steps into your life to make your dreams come true...Goals convert vision into energy."

Make the Most of your Time



Time is one of your most critical resources. When you purposefully direct your time and see progress from your efforts, you'll feel energized. However, when you're fighting fires and going round in circles, you'll feel drained.

Dr Stephen Covey introduced the 4 quadrants of time-use. Most people focus on Quadrant I (e.g. bills and contract deadlines), get distracted by Quadrant III (e.g. emails and calls), and waste time on Quadrant IV (e.g. TV and social media). We tend to neglect Quadrant II—things that're important but not urgent—such as exercise, strategic planning, and personal growth. Yet, this is the quadrant that makes the biggest long-term difference; if left unaddressed, the items here will end up in Quadrant I, leaving you with no time for anything else.

	urgent	not urgent
important	Quadrant I	Quadrant II
non important	Quadrant III	Quadrant IV

Manage your time with a prioritized to-do list. Each morning, list down everything you must do. Label them with “A” for things that must be done today, “B” for things to be done soon, and “C” for things that can be delegated or put aside. Then, go through items in the “A” list and rank them (A1, A2...) using this question: “If I can do only 1 thing today, what will be the *most crucial item?*” Do the same for your “B” and “C” lists. Put A1 at the top of your to-do list and focus on that above all else.

Meetings are essential in any organization, but they can also be a huge time-waster if not properly managed. Set a clear agenda in advance, have everyone come prepared to address those objectives, and ensure there's proper follow-up after each meeting. [Refer to Patrick Lencioni's “Death by Meeting” for more tips on structuring your meetings to be focused, effective and enjoyable.]

Your desk reflects how organized or disorganized you are. Clean up a messy desk—remove, finish or delegate loose items sitting around. Use technology to make your work more productive (but don't waste all your time playing with tech gadgets).

KEY QUOTES

“When scheduling a meeting, take time to prepare for the meeting.”



A leader must make hard decisions and take action in spite of criticism. To overcome indecision, you must conquer your fears, which can otherwise paralyze you. State your fear out loud, so you're aware of what's holding you back and can address it. Step back to examine your worst-case scenario—which is likely to be unpleasant but not fatal—to see your fears more objectively.



Here are some tips for making good decisions:

- It's ok to hold off a decision until you have more info or are feeling calmer, but always set a firm deadline.
- Allocate time based on the size of the decision. Don't drag out small decisions (e.g. making a \$10 purchase), but set aside enough time to research and test your options before making big strategic decisions.
- The best cure for fear and lousy decisions is to have lots of options. Don't settle for a bad option; keep searching until you find better ones.
- Invest time/effort to gather information so you can make sound decisions. Get inputs from both internal and external experts who have real-life experience in an area (e.g. lawyers, marketers). Consult your spouse for important business decisions and you may be surprised at the insights he/she can offer.
- Coach/equip your team to make good decisions so your business can eventually run without you. Start by sharing ideas/options with your team members and have them return with 3 proposed options and an action plan. Involve them in the decision-making process so they can learn how you think. Your goal is to reach the point where your team members can make decisions and simply update you on the issue, possible options and how they resolved the problem/opportunity.

KEY QUOTES

"Leadership is not for the weak and the timid; it requires tremendous backbone, tremendous strength."

"A powerful element of good decision making is to have lots and lots of options."

"Ninety percent of making the right decision is the gathering of information...Information removes fear."

- Establish clear principles/values for decision-making. For example, Ramsey's team is closely guided by the Golden Rule to "Do unto others as you would have them do unto you."
- Break down big, complex decisions into smaller parts. Try writing a report on your decision to activate a different part of your brain and gain clarity.
- Consider the financial implications e.g. impact on cashflow and profits. Ramsey recommends not to proceed with an idea unless it (i) can be achieved without borrowing money and (ii) won't be fatal even if it's a wrong decision.

Know the Recipe for Great Marketing



 Marketing is basically your plan to get your product/service to the customer. It's much more than selling and advertising, but there's no mystery or magic to it. It's about having the right ingredients and recipe.

- Timing is critical in marketing, including when to enter a market or launch a store/product. For instance, opening a retail store in February could be risky as you must survive many months before the peak sales period between Thanksgiving and New Year.
- The first version of your product is almost never the version that succeeds in the marketplace. Don't overstock for a new product launch. Start small with a prototype and keep revamping it.
- Don't rely on your intuition. Always test, measure and refine your options. You can do paid research and focus group studies, or find creative ways to get feedback for little/no cost, e.g. asking people to vote on a product cover/design to identify the best option.
- Take the right actions depending on where you are in the product or market life cycle:
 - (i) Introduction: you've just launched and have no/low profit.

KEY QUOTES

"Have a long-term vision and execute it...slow and steady wins the race."

"A great idea timed poorly can die a thousand painful deaths."

"Allow your idea to die and be reborn repeatedly; it will get better each time."

"Target your idea, test it, measure your results, then change it."

(ii) Growth: sales start to grow and per-unit costs decrease.

(iii) Maturity: the most stable/profitable phase with low costs and high sales, but also when more competitors enter the market.

(iv) Decline: sales and profit start to drop and it's time to reinvent your product or move on to a new one.

- Move your customers through a funnel. Draw people in with free/inexpensive services, let them interact with your brand, then progressively introduce more expensive and time-consuming products. For example, you may have 100 people download a free report, of which 15 buy a small service for \$69 and 1 buys an expensive product for \$4900.

- Spice up the components above with these essential ingredients:

(i) Passion: Marketing is only effective if it's infused with energy.

(ii) Scarcity: When people believe your product is scarce and precious, they'd line up and pay a premium for it.

(iii) Urgency: Give people a reason to buy *now*, e.g. offering a limited number of items at a discounted price.

(iv) Momentum: Use the formula below to gain massive traction.



Ramsey's team came up with "The Momentum Theorem" to explain how unstoppable momentum can be created:

$$\frac{Fi}{T} (G) = M$$

- F = Focus. Stay focused; don't be distracted by greed or the fear of failure.
- I = Intensity. To get results, pack a lot of activity (promotion, sales calls, advertising etc.) into a short timeframe.
- T = Time. Success won't happen overnight. Keep going even if you don't see instant results.

KEY QUOTES

"The more money and time you ask your customers, the fewer will follow you down the funnel."

"The mystery of marketing is not really a mystery. There are just so few people in business who do all the parts intentionally."

"Cram a ton of activity in a small space of time and your marketing engine will run."

- G = God. If you're a person of faith, remember that your limited personal abilities can become phenomenal when multiplied by God's unlimited prowess.



What seems like a lucky break is often the result of years of consistent hard work behind the scene. With the right recipe and persistence, you too, can create unstoppable momentum.

How to start a Business & Realize your Dreams



It's perfectly fine to start small and grow via bootstrapping. There's no point in taking huge loans to launch big, only to collapse quickly.

- It's a good idea to start a business part-time while holding a job. It'd mean working much harder initially, but it gives you time to build a proper business foundation. Focus on finding solutions to people's needs/problems. Only quit your job when you have a good chance of sustaining yourself and your business without it.
- Until your business is profitable, just suck it up and do the hard-lifting. You're only ready to expand when you're making profits.



Selecting your business. Ideally, you'd want to start a business that makes money and fits your calling/passion. However, don't sit around waiting for the perfect opportunity.

- It's perfectly fine to work for money initially; just make sure you do it with passion and excellence as if it was your calling. Don't waste money on programs/courses that promise overnight success. There's no shortcut; do the work.
- In the longer term, it's vital to find your calling such that your business matches your skills/abilities, personality, values, dreams and passions. Business is hard work, and you'll need a strong reason (beyond money) to persist. Working on your calling gives you energy, fulfillment, and a clear direction as your business changes and evolves.



Ramsey also explains franchising and multi-level marketing (MLM) in detail. In a nutshell:

KEY QUOTES

"Momentum is not a random lightning strike, but on the contrary it is actually created."

"Great oaks are grown from humble beginnings as small acorns."

"Work isn't really hard to find if you look at the needs people have and how you might serve them."

"If you choose well, the way you spend most of your life, your vocation, will truly be a vacation."

"Find something you love doing so much that on the tough days you have a reason to fight on."

- Franchises offer an established brand and system to reduce startup risks, but they're not fail-safe. Only take up a franchise if (i) it's your passion, (ii) there're long-term competitive advantages, (iii) you'll still be ok with the model 10 years later, and (iv) you've done reference checks with both successful and struggling franchisees.
- Legitimate MLM companies sell their products/services and recruit new members through existing members. You *can* make lots of money with a low cost of entry. Consider this option if (i) you'd like to recruit, train and lead a high-performing salesforce, and (ii) you're passionate about the product/service.

Learn to Hire and Fire Effectively



 **Turnover is costly** as it means (i) time/resources spent hiring and training someone else, (ii) lost opportunities while the person is being replaced, and (iii) reduced team morale. Often, this can be avoided by hiring the right people in the first place.

 **Hiring.** The key is to sieve out people who're not a good fit *before* you hire them.

- Pray to God to send you the right people, or do quiet reflection on the type of people you want/don't want. Define the key results areas (KRAs), i.e. what success looks like for that role.
- Referrals are usually more effective than advertising.
- Do an initial screening with a short 30-minute interview. Use the resume for an overview of the person's skills/experience, and testing tools (e.g. personality tests) to assess potential fit.
- Selection. Observe if the candidate "lights up" when discussing the role. Only hire someone if (i) you can pay them enough to meet their personal needs and (ii) the role fits with their dreams/goals. Don't hire anyone you don't like. Meet their spouse for additional insights.

KEY QUOTES

"Business is easy...until people get involved."

"The person hired properly will perform better, will not cause problems, and will be more likely to stay."

- Use a 90-day probation to mutually test out the arrangement before making a firm commitment.

 **Course corrections.** It's the EntreLeader's responsibility to demand excellence. Don't close an eye to underachievement or misbehavior, as you'll only endorse and perpetuate mediocrity.

- When someone falls short of expectations, start with a verbal reprimand to remind them of what's expected. Keep it short, focus on the problem (not the person), reprimand privately (not publicly) and be gentle/kind.
- Repeat the reprimand as needed, laying out the expectations and course-corrections clearly. People may leave voluntarily if they realize that they're not suited for the role.

 **Firing.** There're only 3 reasons for someone to be fired:

- Leadership breakdown, e.g. lack of clear KRAs and proper training/resources, or unresolved conflict. Fix it asap.
- Personal challenges, e.g. a divorce or a sick child. Understand the issue and treat people the way you'd have liked to be treated, but ensure (i) there's some observable progress and (ii) you can accept a temporary dip in performance.
- Incompetence, e.g. skills or behavioral issues. Quantify the gap and identify ways to bridge it (e.g. via training and counselling).

Where possible, give people a chance to improve first. However, release someone *immediately* if (i) you discover a character flaw (e.g. sexual harassment or stealing) or if (ii) the person is found to be unsuitable during the 90 day probation.

Master the Art of Selling by Serving



Sales is not about pushing or manipulating others; it's all about human interaction. Everyone—from production to logistics and customer service—is part of the process of delivering a great product and experience. To cultivate life-time customers, you must truly believe in your product, serve customers wholeheartedly, and understand human decision-making processes.

KEY QUOTES

"Treat your team like family and they will act like family."

"When someone doesn't belong on your team you are doing them a huge favor to set them free."

"Don't teach your team techniques to pressure people. Teach your team to serve."



Master the 4 key steps in any sale:

- Qualification. Only sell to qualified prospects who have the money, time, need/want and decision-making power to buy.
- Build rapport. People will only buy if they trust your company and product/service. You typically have only 1 minute to establish common ground with the buyer and start a dialogue through your website, product packaging, graphics, or in person. You can also find common ground through referrals—make sure you research on the person so you can appeal to commonalities (e.g. same religion, interests) and adopt their personality style (e.g. know whether they require details or speed).
- Education. Great salespeople don't push; they *pull* people by serving them. To do that, you need (i) detailed product knowledge, (ii) conviction that your product will help the customer, and (iii) info on how exactly you're stronger or weaker than competitors. Show your clients that they'll get more value than the time/money invested in the purchase.
- Close the sale. Never try to close without the previous 3 steps. You can close using several approaches: (i) *feel-felt-found* (e.g. "I understand how you *feel*. I know other people also felt the same way. What they *found* was..."), (ii) *the assumptive close* (i.e. just fill the paperwork and serve the customer), (iii) *the alternative close* (e.g. "would you want to go with A or B"), (iv) *the calendar close* (e.g. "would you prefer the product to be delivered on Date A or B?"), or (v) *the integrity close* (i.e. let the customer bring the product back for a trial period). Sometimes, it's better to ask questions then shut up and let the customer tell you exactly how to serve them. Remember: the sale isn't done until the money's received.

Apply Sound Financial Principles



Becoming financially healthy is actually very simple if you follow the right principles.

- Don't make important decisions when you're feeling emotional.

KEY QUOTES

"Sales is nothing more than a transference of feeling."
—Zig Ziglar

"Serve, don't sell...A great salesperson pulls someone, serves someone through the process rather than pushes."

"Regardless of the close, no sale has occurred until there is money in the house."

"Some of the most profound truths in any field of study are very simple yet deeply profound."

- Many small businesses sink because they start with insufficient capital, spend too much and run into cash-flow problems. Keep your personal and business accounts separate, and account for every cent that's earned/spent in your business.
- Use business budgeting to plan ahead. Your initial forecasts will be mainly guesswork, but it'll get more accurate with time.
- Invest only in things that affect profits. Don't buy things just to seem credible or to save on taxes.
- Avoid debt. When you operate with available/limited resources, you're forced to be more prudent and creative. Loans amplify your risks and the cost of mistakes, to make failure (which are inevitable in business) potentially fatal. Set aside cash or retained earnings for low seasons (so you don't have to borrow) and use debit cards or cash (not credit cards). For large purchases, save up and pay cash, or rent first and buy later. Consider buying used items (instead of new ones) for a fraction of the cost.
- As your business grows, set aside part of your profits as retained earnings. Use it (i) as an emergency fund (with 6 months' operating expenses), (ii) for business investments (e.g. hire people, launch a new product), and (iii) to leverage on unexpected opportunities.
- Set aside resources (products/services or profits) so you can give generously to your team and meaningful causes.



If your business is in debt or has no retained earnings: (i) temporarily decrease your personal income to the minimum you can live with, then (ii) set aside part of the remaining profits for debt repayment and another part for investment (to grow your cash). Only pay yourself more when you're debt free with some retained earnings.

Create a Culture of Communication



 When communication breaks down, people imagine the worst; they gossip and speculate, feel frustrated and distrustful

KEY QUOTES

"If you and your business are attractive you don't have to impress anyone with your furniture or toys."

"The truth is that by starting small and gradually expanding you lower risk and minimize the size of the mistakes you will make."

"When opportunity knocks, if you keep some cash you can answer the door."

"Being generous is the hallmark of people who live successful lives and who operate business with soul."

"If the right hand doesn't know what the left hand is doing, disunity, anger, and frustration will fill your company."

If people don't see the big picture, there'll also be lots of missed opportunities. Great companies constantly reinforce the value of communication and are intentional about how/what they communicate.

- Keep repeating your company's dream, vision, mission statement and goals. Messages won't stick until people hear it many times. Share your company's story and history, as well as the future you're building together.
- During crises, it's critical to over-communicate with your team in terms of the frequency and amount of details.
- Don't tolerate any gossip. Get people to bring problems to leaders instead of complaining to peers or subordinates.



Facilitate communication using various tools/methods, e.g. weekly company-wide staff meetings (where each department quickly shares what it's doing), focused meetings (between senior leaders or within departments), mail (e.g. email or text messages), and 1-page weekly reports (for team members to consolidate and share what they've done). The goal is to create free-flow communication and alignment across the team. Leaders should also walk around the company regularly, sense the vibes and connect with people face to face.

Build Loyalty and Unity



You can't win your employees' loyalty unless you're first loyal to them. You're working with real people with dreams, goals, hopes and pain; get to know each person on your team, fulfill your promises and help them to live better lives.



Unity. Businesses are like a sports team or a music band—individual talent is useless if the members don't play in unity. Unity requires 5 key components: (i) frequent, open communication, (ii) A shared purpose (dream, vision and goals), (iii) no gossip, (iv) conflict resolution (so problems won't fester) and (v) performance management (so there's no sanctioned incompetence).

KEY QUOTES

"When in doubt, over-share."

"Communication is the grease in the gears."

"Hand your negatives up and your positives down. Otherwise it starts to sound a lot like gossip."

Magnify Success with Recognition and Inspiration



Every human being wants to be recognized and appreciated. Make the effort to catch people doing the right things. Recognize them with a nod/smile/compliment, in writing, with small tokens, and/or in front of those who matter to them (e.g. their peers or spouses). The key is to be intentional and sincere.



Create an inspiring environment by (i) casting vision, (ii) rewarding people when they win, (iii) focusing on a wider cause, (iv) telling stories of your past struggles/triumphs as well as current journey (customer emails, stories of outstanding service), (v) role-modelling your values and passion and (vii) leading by example.

Get a Grip on the Day-to-Day Operations



Get on top of these 3 technical aspects of operations—contracts, collections and vendors—which affect your business health and send powerful signals to your team and customers.



Don't treat contracts as a form of protection or control. Contracts won't guarantee that people perform, keep their word or behave in a certain way.

- When a contract is violated, the cost of suing the other party is often too high to be worth the effort. Your best protection is to deal only with people with integrity.
- Instead, treat contracts as a communication tool to capture what you've agreed on. Do get a good attorney, consider various scenarios (including the best/worst-case scenarios), craft mutually-beneficial deals and educate yourself on key contractual terms.



Difficulties with payment collection are usually a sign of underlying problems, e.g. an unqualified prospect or a poorly-setup sales relationship.

KEY QUOTES

"People only allow themselves to be led when they feel valued and when they are treated with dignity."

"A contract is only as good as the people you are dealing with, so deal only with good people."

"Enter lawsuits only after you are ready to lay siege and wait years for the outcome."

"Collections problems are not the problem, they are the symptom."

- Set up proper collection procedures, e.g. a series of courtesy calls/reminders, followed by account termination or a shift to cash-on-delivery after 60/90 days.
- Ramsey recommends that you forgive bad debts if your company screwed up the service or if the customer is totally broke. Only consider suing if the customer has the money but refuses to pay, and the debt is a sizable one.



Build strong, long-term relationships with essential vendors who supply vital services to your company. Ensure that such vendors (i) are led by people with integrity, (ii) have the capacity to handle your needs, (iii) can operate viably at the prices you want, and (iv) are able to uphold the quality of your product/service.

Motivate People with the Right Compensation Plans



How much you pay people tells them how much you value them. Be intentional about the message you send and reward only what you want more of.

- Use a blend of compensation tools including: (i) salary, (ii) profit share, (iii) commissions, (iv) profit and loss bonus (tied to a department or unit's P&L), (v) vesting (salary plus % gross revenue), and (vi) benefits (tailored for your company).
- It's easier to increase than decrease compensation. If you're launching a new comp plan (or a plan for an new area), reserve the right to adjust the plan for a period of time.

Delegate Effectively



For your business to grow bigger than you, you must delegate. Yet, you can only do so effectively after all the other components above are in place, i.e. you already have a clear vision, culture, operational foundations etc.



Delegating to your team is very much like giving freedom to a teenager. Trust is earned each time someone delivers what's promised, and shows that he/she has the integrity

KEY QUOTES

"Salespeople who beg instead of serve end up begging for the customer's money."

"You should outsource because a vendor has knowledge you don't have, can do something you can't do or can do something cheaper than you can."

"Be generous to the people who cause you to win."

"What you spend money on says what is important to you. A company's compensation system is a clear reflection of its corporate values and culture."

"Competency is about much more than whether the task is accomplished; it is also about how the task is accomplished."

and competency to handle a task in the desired way. The reverse happens when someone fails to deliver on their commitment.



Such a process takes time. Initially, you must invest time/effort to teach new people every detail that'd help them succeed in a role. Once you delegate something, make sure you give the person the authority along with the responsibility/accountability.

KEY QUOTES

"Never give someone responsibility without the authority to perform."